

**Table I.1:** EM-native construction. The EM basket’s returns (annualized, %/yr) by the EM own-signal state and the EM average curve’s shape, 2003:07–2026. Wedge regression  $y_t = a + b_1 \mathbf{1}\{\text{signal}\}_{t-1} + b_2 \mathbf{1}\{\text{signal}\}_{t-1} \times \mathbf{1}\{\text{downcurve}\}_{t-1} + e_t$  on EM-signal episodes;  $t_{NW}$  = Newey–West (12 lags),  $t_{ep}$  = episode-clustered. The seven-month downward-sloping cell is suggestive, not conclusive.

| Cell                                                                                                                                                                                              | $N$ | Spot   | Income | Total |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|--------|--------|-------|
| EM signal on, EM curve downward-sloping                                                                                                                                                           | 7   | −2.01  | +3.39  | +1.38 |
| EM signal on, other shapes                                                                                                                                                                        | 71  | −10.20 | +4.68  | −5.52 |
| EM signal off                                                                                                                                                                                     | 194 | +0.60  | +4.47  | +5.07 |
| Average EM curve in downcurve months: money market 8.38,<br>2Y 7.94, 10Y 7.81 (%)                                                                                                                 |     |        |        |       |
| Wedge regression (total): EM signal in other shapes $b = -10.59$ ( $t_{NW} = -2.34$ , $t_{ep} = -2.90$ );<br>signal $\times$ downward-sloping $b = +6.91$ ( $t_{NW} = +1.45$ , $t_{ep} = +2.14$ ) |     |        |        |       |